



Some facts

Sectors being revolutionised by drones:

Agriculture • Mapping • Defence • Transportation • Mining • Logistics • Delivery Services • Healthcare • Infrastructure • Surveillance • Photography • Emergency Response • Law Enforcement

Total addressable market potential for drones in India:

- Defence : ₹1,01,000 crore
- Commercial : ₹75,000 crore
- Exports : ₹47,000 crore
- C UAS : ₹49,000 crore
- HLS : ₹23,000 crore

Market forecast figures:

- Total manufacturing potential of more than ₹180,000 crore for drones in India by 2030
- Investment worth ₹5,000 crore for manufacturing drones
- Drones service market to be worth \$40.7 billion by 2026
- Drones' camera market to reach \$40.7 billion by 2026

Drones PLI at a glance:

- Total amount allocated: ₹120 crore
- Tenure: 3 years, PLI rate constant every year
- Incentive as high as 20% of value addition
- Minimum value addition norm: 40%
- Developers of drone-related IT products also included

Opportunities beyond PLI, being fuelled by PLI:

- Drone pilot training schools
- Drone jobs in AI and ML sector
- Data scientists in the drone sector

(Note: 100 crore = 1 billion)

“We have estimated the total manufacturing potential to be more than ₹180,000 crores (1,800 billion rupees) for drones in India by 2030. This is not just an opportunity for the larger companies but also for the hundreds of startups which are operating in this space,” says Rajan Luthra, Head-Special Projects, Reliance Industries Ltd, and Chair, FICCI Committee on Drones and Chairman's Office.

Sampathkumaran S.T., Vice President-Defence & Aerospace, Adani Group, also has a similar view. He notes, “Size does not matter in the drone vertical. The industry as a whole is at a very nascent stage. Everyone is going through learning, that is, the startup phase, and the field is open for everybody to come and play.”

Vikram Singh Meena, Founder & CEO-TechEagle adds, “The world

will see more than two million Indian made drones flying in airspace by 2030 because of initiatives like liberalised drone policy and PLI scheme.”

Let's talk about the PLI first

The graph on last page makes it evident that drones are not just here to stay but to rule every segment they are used in. Moreover, the deployment of drones for mapping villages in India is a clear indicator of the trust and confidence the government of India has in the sector. As a matter of fact, the government itself has admitted that drones can benefit sectors including but not limited to agriculture, mining, infrastructure, surveillance, emergency response, transportation, geo-spatial mapping, defence, and law enforcement.

It is clear that this scheme is a follow-through of the liberalised

Drone Rules, 2021 released by the Central government on 25th August 2021. The PLI scheme and new drone rules, as per the government, are intended to catalyse supernormal growth in the upcoming drone sector.

Jyotiraditya M. Scindia, Union Minister of Civil Aviation, while informing about the incentives worth 1.2 billion rupees (₹120 crore), notes the amount would be 1.5 times the combined size of the manufacturing drone sector. He also mentions the objective of establishing India as a global drone hub by 2030 and says that the Ministry of Civil Aviation is committed to facilitate industry, service delivery, and consumers in achieving the aforesaid target.

“Over a period of three years, estimated investment worth ₹5,000 crore (₹50 billion) for manufacturing sector drones will be done, which in turn will bring a turnover of ₹900 crore (₹9 billion), along with 10,000 job opportunities being created,” he explains.

The government has kept the eligibility norm for micro, small, and medium enterprises (MSMEs) and startups in terms of annual sales turnover, at a nominal level of ₹20 million for drones and ₹5 million for drone components. Whereas the eligibility norm for non-MSME

Drone components

- Airframe, propulsion systems (engine and electric), power systems, batteries and associated components, launch and recovery systems
- Inertial measurement unit, inertial navigation system, flight control module, ground control station and associated components
- Communications systems (radio frequency, transponders, satellite based, etc)
- Cameras, sensors, spraying systems and related payload, etc
- 'Detect and Avoid' system, emergency recovery system, trackers etc, and other components critical for safety and security